

UPDATED &
EXPANDED

THE MUST-HAVE

SaaS Patent Guide 2.0

Downloaded by Over 20,000 SaaS Founders

The Must-Have SaaS Patent Guide 2.0

Get the #1 SaaS patent guide downloaded by thousands of founder's and learn how software patents can help your SaaS company protect key features, increase valuation, and gain a competitive advantage.

Table Of Content's

01.

Why Your Software Needs Patent Protection

Key Feature Protection

Identifying The Points of Novelty In Your Software

04.

Expediting Your Patent Application

The Prioritized Patent Examination Program

Advantages and Additional Fees Involved

02.

Attracting Investor Capital

Long-term Strategy Planning

Creating IP Revenue Streams

05.

Responding to Patent Office Actions

The Two Types of Office Actions

Addressing Rejection Grounds

03.

Preparing Your Patent Application

Claims & Specifications Drawings

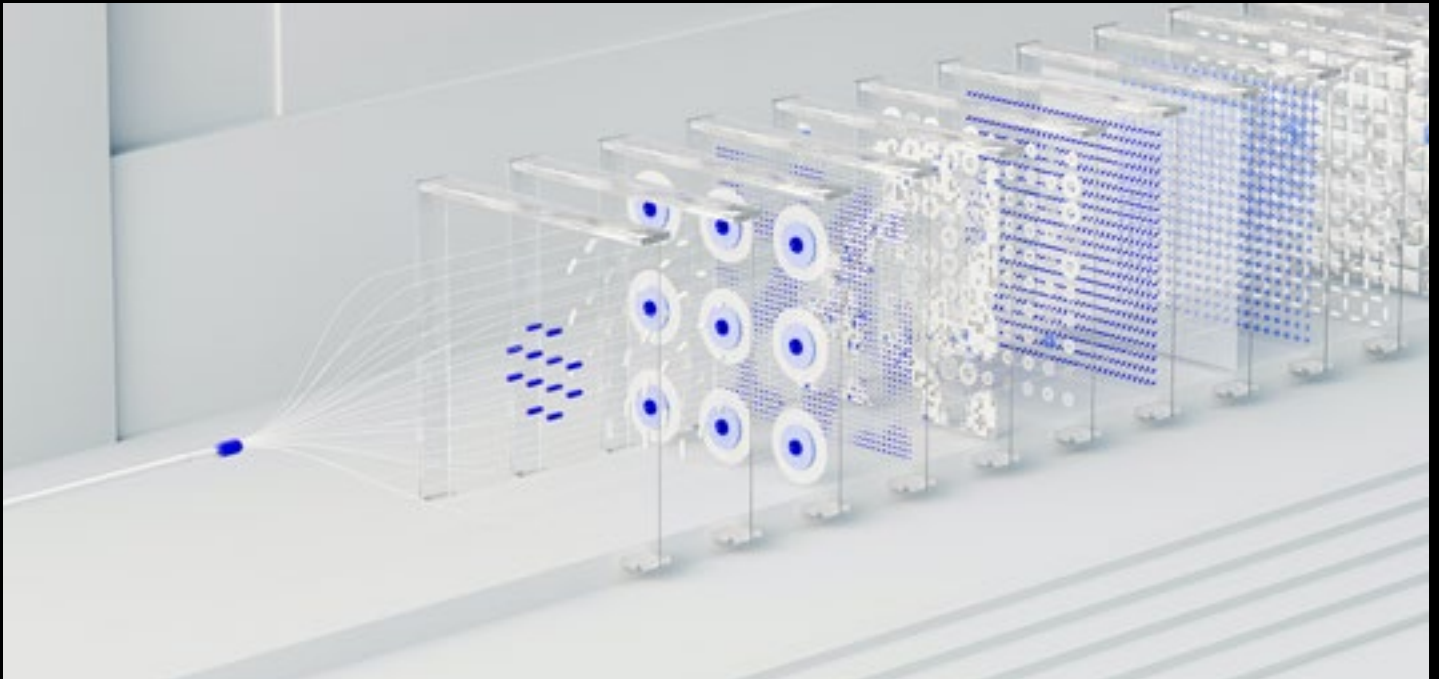
Drafting Drawings & Figures

06.

Overview and Timeline of The Patent Process

The 7 Step Patent Process

Timelines and What To Expect



Introduction

Imagine pouring years into developing a groundbreaking software, only to watch competitors replicate the unique key features you worked so hard to conceptualize and develop. The sting of seeing your hard work copied can be absolutely devastating and completely derail momentum for a startup. In this high-stakes game, your defense is as important as your offense. 'Patents for SaaS: The Must-Have Guide 2.0' is your essential tool in this complex arena.

The urgency to protect your innovation has never been more critical. This guide goes beyond protecting code, diving into the novel processes that make your software unique. It's not just about the lines of code, but the innovative ideas and functionality that they bring to life. Learn how to craft a robust patent application, one that encapsulates the essence of your software and sets it apart in the crowded SaaS market.

For founders with groundbreaking software, this guide is your key to securing your software's future. It's about more than protection; it's about asserting your place in the industry and maintaining your competitive edge.



About The Author

Registered Patent Attorney

Andrew Rapacke

Andrew Rapacke Managing Partner

Andrew's mission is to safeguard your groundbreaking software, ensuring your unique features remain uniquely yours.

Bio

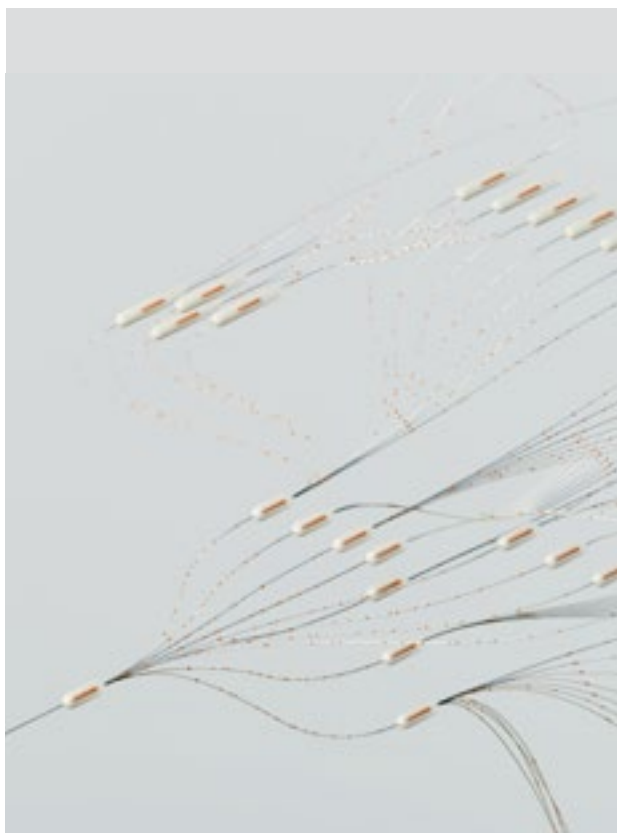
Navigating the complex world of software patents requires unique experience, and that's where Andrew Rapacke comes in. As the Managing Partner at The Rapacke Law Group, he combines his legal acumen with a deep technical understanding, honed from his time as a Naval Engineering Officer and his education at the United States Naval Academy. This unique blend of experiences allows him to navigate the complex landscape of software patents with ease and precision.

Focused on helping SaaS founders, Andrew is more than just a legal advisor. He's a strategic partner, deeply involved in the startup community and committed to educating others about the intricacies of intellectual property law. His mission goes beyond the confines of a traditional law office. It's about safeguarding your groundbreaking software and intellectual property, ensuring your unique features remain uniquely yours.



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Chapter 1

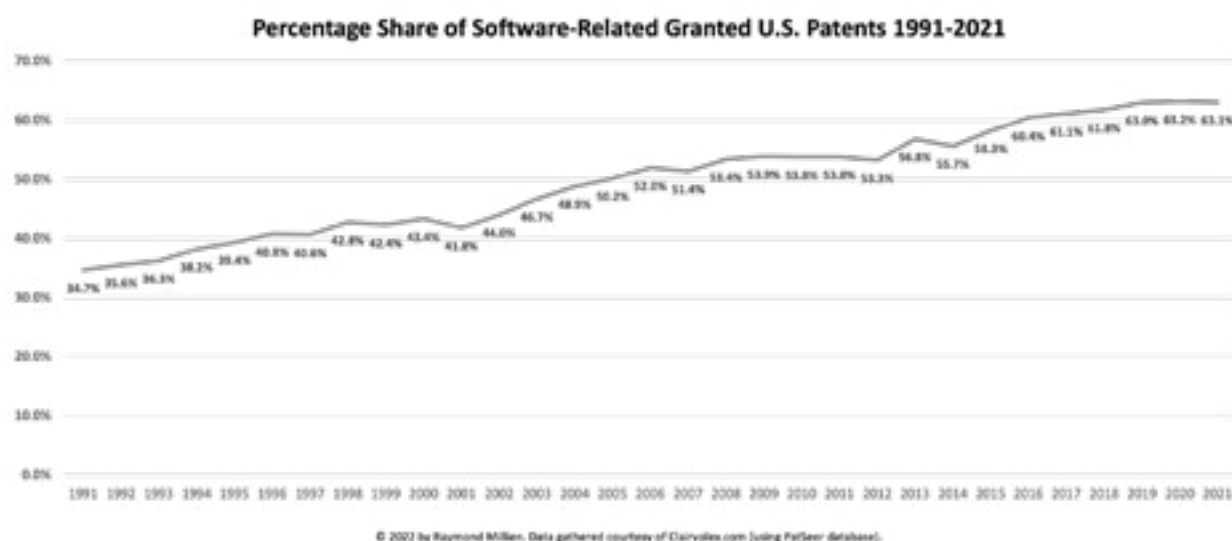
Why Your Software Needs Patent Protection

Imagine that you and your team have spent years working diligently to develop a streamlined software solution that provides an answer to a technical deficiency in your industry.

Finally, you deploy your software solution to the public, along with its proprietary features and functionality. Your software platform becomes the “go-to” Software as a Service (SaaS) solution, and you watch your reoccurring monthly revenue rapidly grow. However, over time something happens, and you start to see your scaling pace dwindle only to discover that your competitors have integrated your proprietary features into their software platform. Suddenly, you realize you are losing your competitive advantage and your competitors are gaining market share at your expense. What could you have done to prevent this injustice? Protect your software with a patent.

Patents are invaluable assets that will distinguish your software from competitors by building a “defensive barrier” around the proprietary features of your software platform and create short and long-term monetization opportunities through patent licensing and acquisition. The bottom line: patents are essential for any SaaS companies selling proprietary software. Since 2016, over 60% of all issued patents have been software related.

As of 2022, the United States represents the largest technology market in the world, accounting for 33% of the total IT spend last year. While patent grants slightly declined in 2021 in a mid-Covid-19 world, the market share for software-related patents has steadily increased year-over-year.



Patenting Software is About the Process, Not the Code

Patents protect the underlying novel processes and functionality of your software and not your source or object code.

Different aspects of your software related invention may be patentable, so you must determine which features improve computer functionality or provide a technical solution to a known deficiency. Out of the four statutory categories of patentable subject matter, (1) processes, (2) machines, (3) articles of manufacture, and (4) compositions of matter, software does not neatly fit within any one of them and may be categorized as too “abstract” for patent eligibility if improperly drafted.

According to the United States Patent and Trademark Office (USPTO), a software process refers to an act or series of steps your software executes. Thus, the patentability of your software related invention stems directly from how the patent application is drafted and how the process or method is described. To ensure your software is patent eligible subject matter, your software application must be directed to the process or method of execution of the software on a computer or mobile computing device and include all accompanying hardware or components where the software is implemented.

While preparing yourself to move forward with your software patent application, determine the following:

- What is your inventive concept?
- What are your software's proprietary features?
- What unique functionality will your software platform execute?
- What technical improvement over existing technology will your software provide?

These questions will help you identify the "points of novelty" in your software by thinking about the unique functionality of your software and working backwards. This requires an understanding that functionality is how a combination of features work to provide the desired outcome. Recognizing the unique functionality will also help identify what specific features your software system uses.

At the outset of applying for your software patent, consider the following questions:

What are the short-term and long-term goals for your software platform?

Is your software the type that will be rendered obsolete in a few years, or will it have market sustainability? It is imperative for you to consider how your patents and IP assets further both short-term and long-term goals. In the short term, consider your current market position and how a patent may help you gain a competitive advantage but creating a barrier to entry for your competition. If you require immediate revenue, consider shorter-term monetization options that may be available for your patents, such as licensing. In the long term, forward-thinking SaaS companies will devise comprehensive strategies to help build, develop, and monetize their patent portfolios moving forward.

How valuable is your software to your company?

Evaluating the value of your software platform can help you determine whether it warrants patent protection. Here, many of the same considerations weighed in determining the short-term and long-term goals for your software company can aid in assessing the value of your software platform. A platform that addresses a crucial market need will be the foundation for scaling your software company and generating revenue and should be protected with a patent.

Chapter 2

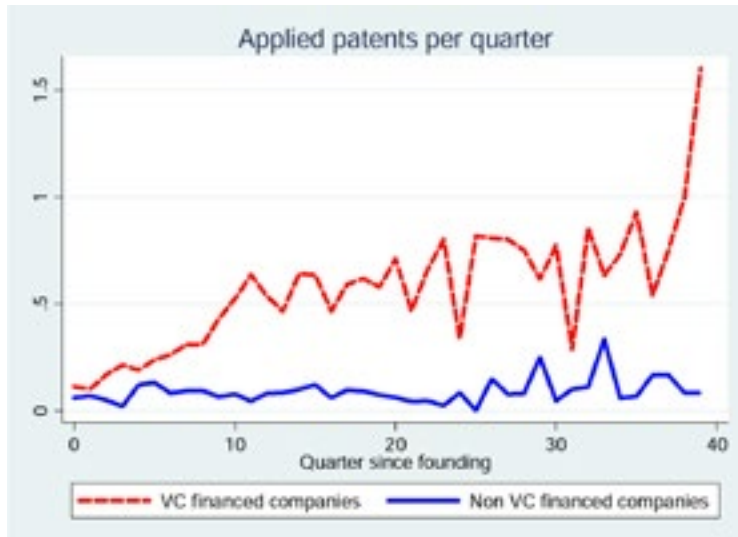
Attracting Investor Capital

Last year, the United States saw the largest investment of venture capital (VC) funding in the software industry.

Whether you are a new or existing software company, patents will make your software company more attractive to investors. Software companies with patents and pending applications show distinctly different levels funding and acquisition opportunities than companies who did not secure patent protections. For example, software companies seeking investment capital tend to have a 53% better chance of securing an investor when they have patents or pending applications around their software platforms.



Figure 1. Quarterly Patent Applications - Including pre and post-financing patents for VC financed companies.



Source: Haeussler, C. et al, To Be Financed or Not...- The Role of Patents for Venture Capital Financing, 27, <https://ftp.zew.de/pub/zew-docs/dp/dp09003.pdf>

The great news for software companies seeking investor and venture capital is that the data shows no signs of slowing. But how do you ensure that you maximize your investment opportunities?

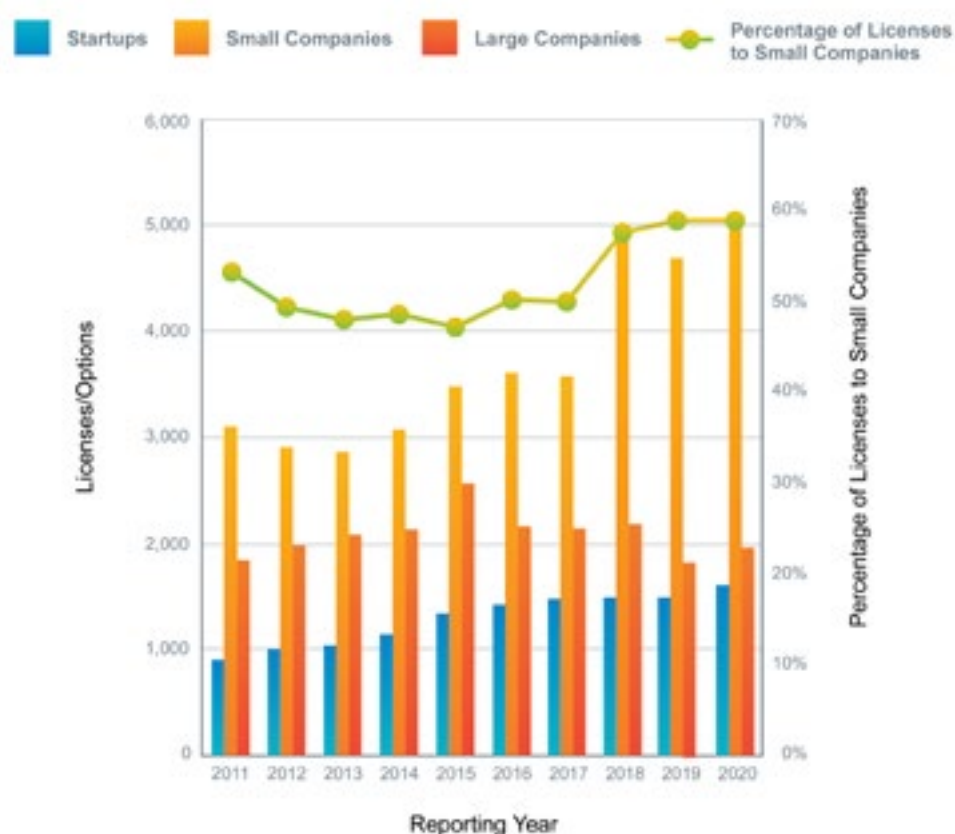
The key is to create measurable value for your software company through a strategic patent approach that will help you monetize your proprietary software for many years. Venture Capital groups seek to invest in software companies that own valuable patents. When used as collateral, patents increase venture capital funding by approximately 76% over three years and additionally increase IPO funding by approximately 128%. A study conducted by Harvard Business School and NYU's Stern School of Business found that owning at least one patent increases a software company's chances of receiving VC funding by 59%.

Create an IP Revenue Stream

One of the most common ways you can monetize your patent(s) is through licensing. A patent license is an agreement that allows another entity to commercialize and sell your software for a specific term creating immediate income for both parties while you ultimately retain ownership of the software invention. By licensing your software, you can immediately create recurring revenue for the duration of the agreement while retaining ownership of the software invention after the expiration of the agreement.

A patent license may enable your software to be introduced to a much larger domestic and international customer base, allowing for the collection of much larger royalties through partnerships with licensees who have established a presence or maintain vast resources. For example, Qualcomm, Nokia, and many IP giants look to licensing patents as a key avenue for return on investment when they license them out both to competitors and companies in neighboring industries.

Licensing More to Small Companies



Source: FY2020 US Licensing Survey – AUTM, at 14 <https://autm.net/AUTM/media/SurveyReportsPDF/FY20-US-Licensing-Survey-FNL.pdf>

Patent Purchase and Acquisition

In addition to licensing patents, software companies may also monetize patents by acquiring the legal rights to patents from the original inventor outright or selling an existing patent. A patent acquisition strategy may apply to a specific patent, or a family of patents related to a specific software platform or vertical. Beyond licensing, patents can be acquired through alternative methods such as an outright purchase/sale, acquisition of a patent portfolio, mergers and acquisitions, and joint ventures.

Regardless of the end goal of any company, acquiring patents yields both short-term and long-term benefits and may provide both offensive and defensive strategies. In the short-term, the inventor would see an immediate financial return and mitigate all future costs that come with potential litigation or maintenance fees. In the long-term, a sale of a successful patent may bring future licensing or re-sell opportunities for up to 20 years.

By selling a patent to a bigger company that may be able to utilize it more effectively, a patent owner may recoup their R&D investments and garner greater revenue than they could have extracted by keeping the invention in-house. The most prevalent examples can be found in the numerous acquisitions of smaller companies by the Big 4 technology companies (Amazon, Apple, Google, and Meta). While Amazon started out as an online bookstore, over the past two decades, they have continued to expand the scope of their marketplace dominance by acquiring companies and their related patents. For example, they expanded their presence to reach your home when they acquired the much smaller video doorbell company, Ring, and home security company, Blink, in 2018. Not only did these relatively obscure companies instantly receive a massive financial return but were able to see their patented products showcased on a global scale.

Chapter 3

Preparing Your Patent Application

The first step in preparing a patent application is to prepare a thorough disclosure outlining your software's operation, components, methods/processes of use, and desired output, including any drawings, flowcharts, or wireframes for review by your patent attorney.

The **second** and most crucial step is identifying and clearly articulating the software's "points of novelty" that distinguish your features, functionality, and limitations from other conventional systems or existing technologies already in the marketplace. Once these points of novelty have been thoroughly reviewed by your patent attorney, a prior art search should be performed to determine the patentability of your invention and how broadly any claims may be drafted within your application.

The **third** step is to conduct a thorough prior art search. Existing patent publications and non-patent literature constitute prior art. This step is crucial to determining whether there are existing software patents that could prevent you from patenting key features or processes in your software. Performing an effective patent search is more of an art or skill than a perfunctory task.

The **fourth** step is to ensure that your software non-provisional utility patent application includes 1) claims, 2) specifications, and 3) drawings that highlight your points of novelty and improvements over the prior art.

Claims

The claims of your non-provisional patent application must thoroughly describe the specific processes and methods that make your software novel. A well-drafted claim will identify the novel aspects of your software and articulate how your software functions or improves computer functionality. When drafting your software invention claims, avoid describing generic functionality or merely reciting automation of human activity that has traditionally been manually performed or reciting “conventional actions in a generic way.”

Here is one software claim example that clearly defines the “metes and bounds” of the invention:

“Automated Determination of Booking Availability for Accommodation Listings.”

(U.S. Pat. No. 10805315B2- Airbnb, Inc.)

Claim 1. A computer-implemented method comprising:

identifying a plurality of past booking requests for accommodations listed by hosts on a reservation platform;

training a predictive computer model based on values of the plurality of features of the past booking requests;

receiving a search query from a guest for accommodation, the search query comprising a geographical location and a requested date range;

identifying a set of candidate accommodations in the geographical location that are not booked during the requested date range, each of the candidate accommodations associated with an availability calendar that is maintained by the host of the accommodation and indicates that the candidate accommodation is not booked during the requested date range;

providing a user interface to the guest comprising identifiers of the set of candidate accommodations, the identifiers being sorted according to one or more default criteria;

detecting a selection by the guest of an option to re-sort the identifiers according to an availability criterion;

calculating, by applying the predictive computer model to the requested date range, a predicted availability that indicates a likelihood that the candidate accommodation that is not booked during the requested date range according to the availability calendar is actually available for booking during the requested date range;

ranking the candidate accommodations based at least on their respective predicted availabilities; and

updating the user interface to provide, to the guest, the identifiers as re-sorted according to the ranking.

Specification

The specification of your patent application is used to support your claims and must describe your invention in sufficient detail to enable someone of ordinary skill in your industry to make and use the invention. The purpose of the enablement requirement is to ensure that the invention is communicated to the public in a fully descriptive and informative way. A strong specification is both concise and comprehensive in describing the technical and essential components and best mode of the software invention.

A well drafted specification will clearly highlight your software's novelty, describe the components and functionality of your software, and provide enough detail to enable someone of ordinary skill in the field to make and use the software. Ensure that you describe with particularity all systems, sub-systems, and components used to execute your novel process in the specification and detailed description.

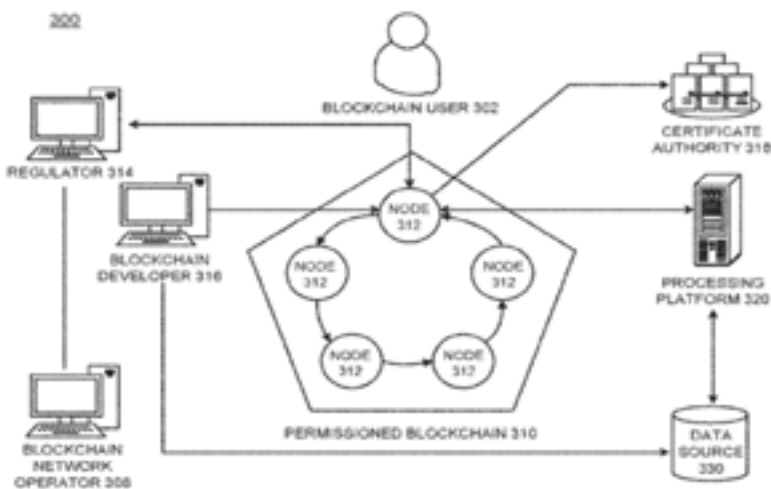
Drawings

While the minimum filing requirements for a non-provisional patent application under 35 U.S.C. § 111 requires only a single drawing figure be submitted with your application, software related applications typically contain a variety of drawing figures that may be used to identify your system, components, and functionality. At The Rapacké Law Group (RLG), we recommend to our clients the inclusion of at least five software patent drawings directed to figures (i) through (v) below:

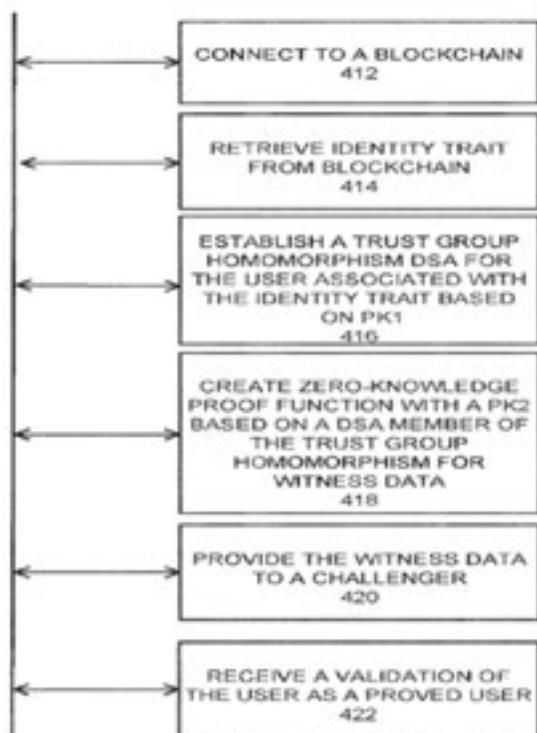
- (i) Network environment where the software may be implemented;
- (ii) A main node (i.e., a computer or a server) where the software code is executed;
- (iii) A flowchart of a main method executed by the software' code;
- (iv) A flowchart(s) of additional optional variations of the main method executed by the software code; and
- (v) A diagram of a computer system/server where the computer-readable medium having the executable code resides in the memory and is executed by the processor of the computer system/server.

Examples of a few of these figures are depicted below:

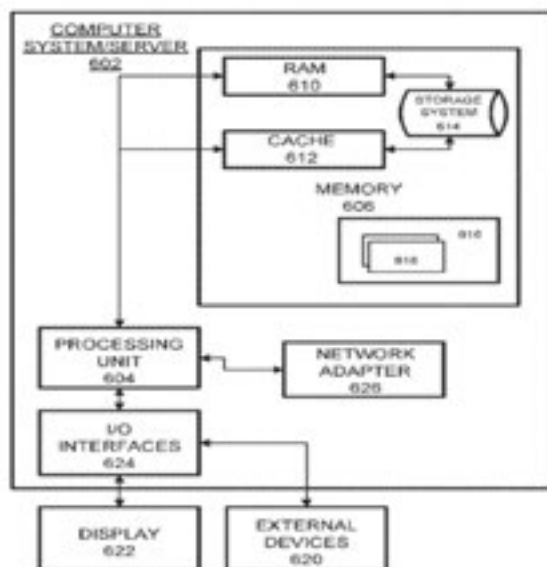
(i) Network environment where the software may be implemented:



(iii) A flowchart of a main method executed by the software' code:



(v) A diagram of a computer system/server where the computer-readable medium having the executable code resides in the memory and is executed by the processor of the computer system/server:



Chapter 4

Expediting Your Patent Application

For software companies interested in expediting their patent application examination, the USPTO offers a prioritized patent examination program which allows up to 15,000 applications per year to be filed under the Track One Prioritized Examination Program.

There are several advantages afforded by this special status, including moving your patent application forward in the examination queue and receiving a final disposition on patentability within twelve months, and over a 20% higher allowance rate.

Any applicant may “request” Track One Prioritized Examination at the time of filing their application or subsequent Request for Continued Examination (RCE), along with the required forms and filing fees which range between \$1,000-\$3,000 depending on entity status. Though it’s one of the most overlooked programs offered by the USPTO, it is highly advisable for any software company looking to accelerate their patent prosecution time.

In the fast-paced world of SaaS, time is of the essence. The sooner you secure your patent, the sooner you can confidently market your software’s unique features without fear of imitation. Expediting your patent application not only provides peace of mind but also sends a strong signal to investors and competitors about your commitment to innovation and legal protection. It’s an investment in your software’s future, ensuring that your groundbreaking work receives the recognition and protection it deserves. Remember, every day counts in the race to innovation, and expediting your patent application could make all the difference.

Chapter 5

Responding to Patent Office Actions

After filing your non-provisional patent application, a USPTO Examiner will substantive examine it for patentability. Once the Examiner has completed their examination of your patent application, the Examiner may detail any grounds for rejection or objection in an Office Action. An Office Action can raise one or more issues regarding the patentability of your application in light of the statutory requirement for patentability or prior art of record. However, the primary focus of the examination is on the novelty and patentability of your claims in the application.

While their function is often underestimated, the specification and drawings are used to support your claim set and may provide a vital role should any claim amendment be necessary in an Office Action. of the statutory requirement for patentability or prior art of record. However, the primary focus of the examination is on the novelty and patentability of your claims in the application.

While their function is often underestimated, the specification and drawings are used to support your claim set and may provide a vital role should any claim amendment be necessary in an Office Action. There are two types of Office Actions: Non-Final Office Actions and Final Office Actions. Each of these Office Actions will have one or more grounds for rejection. If you received a Non-Final Office Action, there are several strategies available while responding to the Examiner's rejection.

The first option is that you may argue that the rejection is improper (e.g., that the Examiner failed to consider all the elements of the rejected claim, or the Examiner misinterpreted the claim limitations, features within the cited art, or combination of cited references). You may also argue that prior art references cited were published after the effective filing date of your software patent application, or that the Examiner's reasoning was flawed. The second option is that you may amend one or more of the rejected claims and argue that the amended claims overcome the rejections and cited art. However, you must ensure there is support for your claim amendments somewhere in the specification or drawing figures as adding "new matter" is prohibited.

A response to an Office Action requires detailed analysis to each claim rejection, objection, and any other issues raised by the Examiner in the Office Action. Failure to address every issue in the Office Action may result in further rejections of the patent application, additional fees, and possibly abandonment of your application.

Taking the Leap: Your Patent Journey Begins

As you stand on the precipice of this exciting journey, remember that every groundbreaking software started as a mere idea. Your unique software innovation has the potential to disrupt markets, redefine standards, and create a lasting impact. The path to securing a patent may seem daunting, but it's a journey worth undertaking. The patent process is not just about protecting your invention; it's about asserting your place in the industry, maintaining your competitive edge, and paving the way for future innovations.

So, take that first step. Begin the patent process. Secure the exclusive rights to your unique software innovation. Remember, this isn't just about securing a patent; it's about safeguarding your vision, your hard work, and your future. The world of SaaS is waiting for your contribution.

Ready to leave your mark? The next step is simple. Reach out to a trusted patent attorney or advisor who can guide you through the process. Start the conversation, discuss your invention, and set the wheels in motion. Your journey to securing your software's future begins now.



Our Commitment to Your Success

Software patents are invaluable assets that will bring your company strategic value. They will not only protect your proprietary software from infringement, increase the valuation of your company, provide a competitive advantage in the marketplace, but will provide both short- and long-term monetization strategies. The Rapacke Law Group is a fixed fee (no billable hour) patent and intellectual property firm designed for software and technology companies looking to protect their most valuable intellectual property assets. Our firm provides one transparent fixed-fee for all patent and trademark matters without the hassle of surprise costs or nickel-and-dime billing used by traditional law firms.

In addition to a fixed-fee billing structure, the Rapacke Law Group offers a money-back guarantee on all prior art search, trademark application, and design patent applications. What that means is, should your search indicate your software invention is not patentable, a full refund will be provided. If patentable, we will credit the cost of your search towards your new application.

Our trademark and design patent application packages include all search, preparation, office action, USPTO correspondence and filing fees. If your application does not receive a notice of allowance for any reason, we will provide a full refund.

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Patent Process & Timeline

Embark on the patent journey, a rigorous but rewarding process, all with the goal of securing exclusive rights to your unique software innovation

Patent Process

Remember, these timelines are averages and can vary based on several factors. Always consult with a patent attorney for advice tailored to your specific situation.

Immediate

01 //

Invention
Disclosure

Document your invention in detail, including its workings and unique aspects.

1-2 Weeks

02 //

Patentability
Search

Conduct a search to determine if your invention is novel and non-obvious compared to

2-4 Weeks

03 //

Patent
Application
Drafting

Prepare a patent application that includes a written description, drawings, and claims defining



18-24 Months

04 //

Patent Examination

Wait for the patent office to review your application and determine if your invention meets the criteria.

Varies

05 //

Office Actions

Respond to any objections or rejections from the examiner, potentially amending claims or arguments.

After Approval

06 //

Patent Issuance

Receive your patent, granting you exclusive rights to the invention for 20 years from the filing date, upon approval of the application.

2.5, 7.5, 11.5 years after issuance

07 //

Patent Maintenance

Pay maintenance fees at regular intervals to keep your patent active.



RAPACKKE
LAW GROUP

Contact Us:

877-703-0782

Headquartered in South Florida,
serving clients throughout the US

Website :

legal@arapackelaw.com

www.arapackelaw.com